

Mortgage Loan Credit Risk Policy

1. Purpose and Scope

This policy establishes minimum standards for evaluating and managing credit risk in residential mortgage loan origination. It applies to all mortgage applications for owner-occupied, single-family residential properties.

2. Borrower Eligibility Criteria

Credit Score Requirements

- **Minimum FICO Score:** 620 for conventional loans
- **Preferred Score:** 700+ qualifies for best rates
- **Exception Process:** Scores between 580-619 require management approval and compensating factors

Debt-to-Income Ratios (DTI)

- **Front-end DTI (Housing Ratio):** Maximum 28% of gross monthly income
- **Back-end DTI (Total Debt):** Maximum 43% of gross monthly income
- **Exception:** DTI up to 50% permitted with strong compensating factors (high credit score, substantial reserves, or significant down payment)

Employment and Income Verification

- **Employment History:** Minimum 2 years continuous employment in same field
- **Income Documentation:** Recent pay stubs (30 days), W-2s (2 years), tax returns (2 years)
- **Self-employed Borrowers:** Business tax returns (2 years), profit/loss statements, bank statements
- **Income Stability:** Declining income trends require additional scrutiny

3. Property and Loan Parameters

Loan-to-Value (LTV) Limits

- **Primary Residence:** Maximum 95% LTV (5% minimum down payment)
- **Strong Credit (740+):** Maximum 97% LTV permitted

- **First-time Buyers:** Special programs may allow 97% LTV with mortgage insurance

Property Requirements

- **Appraisal:** Required from certified appraiser, valid for 120 days
- **Property Condition:** Must be habitable, structurally sound, with no major defects
- **Title:** Clear title with title insurance required

Loan Limits

- **Conforming Loans:** Follow current FHFA county limits
- **Jumbo Loans:** Require 20% minimum down payment and 720+ credit score

4. Risk Assessment Framework

Compensating Factors

Strong applications may offset weaknesses in other areas:

- Cash reserves equal to 6+ months of mortgage payments
- Down payment exceeding 20%
- Credit score above 740
- Stable employment with same employer for 5+ years
- Low DTI ratio (under 20%)

Risk Indicators Requiring Enhanced Review

- Recent bankruptcy or foreclosure (within 7 years)
- Multiple recent credit inquiries
- High credit utilization (above 50%)
- Frequent job changes
- Undisclosed debts discovered during verification

5. Documentation Requirements

Standard Documentation Package

- Completed loan application
- Proof of identity and Social Security number
- Income verification documents
- Asset statements (2 months)
- Credit report authorization
- Purchase agreement (for purchases)

- Homeowner's insurance proof

Additional Documentation for Higher Risk

- Letter of explanation for credit issues
- Proof of rent payment history
- Gift letter for down payment assistance
- Divorce decree or separation agreement
- Evidence of resolved collections/judgments

6. Approval Authority Matrix

Loan Amount	LTV	Credit Score	Approval Level
< \$250,000	≤80 %	≥700	Loan Officer
< \$500,000	≤90 %	≥660	Senior Loan Officer
< \$750,000	≤95 %	≥620	Credit Manager
> \$750,000	Any	Any	Credit Committee

7. Risk Mitigation Strategies

Mortgage Insurance

- **Required:** For all loans with LTV above 80%
- **Cancellation:** Permitted when LTV reaches 78% through payments or appreciation

Interest Rate Adjustments

- Risk-based pricing applied according to credit score and LTV combination
- Rate adjustments range from 0.25% to 1.5% based on risk profile

Reserve Requirements

- Standard: 2 months mortgage payments in liquid assets
- High DTI (>40%): 4 months reserves required
- Jumbo loans: 6-12 months reserves required

8. Prohibited Practices

The following are strictly prohibited:

- Lending based on collateral value alone without income verification
- Falsification of any application information
- Discrimination based on protected characteristics
- Pressure to approve loans not meeting policy criteria
- Accepting loans with negative amortization features

9. Exception Management

All policy exceptions require:

- Written justification documenting compensating factors
- Approval from designated authority level
- Monthly reporting of all exceptions to senior management
- Quarterly review of exception performance

10. Monitoring and Review

Portfolio Monitoring

- Monthly delinquency reporting by risk category
- Quarterly analysis of default patterns
- Annual policy effectiveness review

Early Warning Indicators

- Payment delinquency at 30 days
- Significant property value decline in market
- Borrower request for modification
- Insurance lapse notification

This policy shall be reviewed annually and updated to reflect regulatory changes, market conditions, and institutional risk appetite. All lending staff must acknowledge understanding of this policy through signed attestation.